

CREATING A TIMELINE FOR LIABILITIES

Often while we are focused on repaying the liabilities exclusively, we might see a major financial goal coming up. In that case, we will not be in a position to meet that goal. Hence, we will go back to the timeline that we had created in the lazy canvas. We will fix slots on the timeline where we want to focus on the goal and the slots where we intend to cut off on the debt. For instance, let us say we have a child's marriage coming up in 2 years and we also need to get our debt in order. So, for the next two years, the marriage becomes our focus financially. Once the goal is met, we start paying off debt aggressively over the following 4-5 years.

An important factor in this is the interest rate that we have to pay on the loans. In case we have to pay high interests for our loan, we will first get that loan off the papers. Then, we can take a new loan to meet the financial goal and repay it over the next few years.

So, this is how we need to keep a balance between paying off any major liabilities and meeting our financial goals. However, this is applicable only when our liabilities are stretched. If they are within comfortable limits, systematic paying off of the same will serve the purpose and we can move to the asset side.



Unpaid Loans

